

We can imagine that the foreign owners give a contract to a U.S. citizen, which effectively gives him control over those profits—and perhaps envisions that they will be transferred to him at some point in the future. But since the money remains the legal property of the foreign-owned business, the American citizen is not taxed on it.

We can imagine that the foreigners might also put the money in a foreign-granted trust—and that perhaps the American's family might be among the list of potential beneficiaries. There is probably an unlimited number of confections that might be created. We can imagine that the IRS has a whole army of agents trying to figure out why the people who create these things should go to jail.

But we do not want to get involved with complicated confections. We are trying to build durable “family money.” We can't afford the kind of risks and uncertainties that these structures entail. Ultimately, the United States maintains the right to tax the beneficial owners of any montage—if they are American citizens. You can put in as many layers of corporations and trusts as you want and set up blind alleys to lead the IRS astray, but as long as you are a U.S. citizen, you will never be completely in the clear.

FIVE-COUNTRY STRATEGY

A friend of ours counsels people to diversify across several different countries. He says you should put yourself in one country, your bank in another, your business in another, your income in another, and your investments in a fifth one. Each country should be selected on the basis of how well it functions for that particular purpose. You want to live, for example, where you will not pay estate taxes when you die. And you want your investment accounts in a country that doesn't tax capital gains.

While this strategy makes sense, it is very impractical for most people. Most of us just don't have the energy or attention span to work out so many complicated arrangements. What's more, if you are an American, you come back to the same problem. The U.S. government taxes you—personally. It doesn't care where you live or where you put your money.